

Superseding Enforcement Protocol • Self-Contained • Incorporable by Reference

* SUPERSEDING ENFORCEMENT PROTOCOL *

A N N E X N . A

**Maritime Backdoor Closure:
Immediate Consequence Protocol**

*Automatic Classification, Escort Authority, Financial Penalties, and Bright-Line Tests
for Interdiction Events*

Superseding Enforcement Protocol to Annex N
PEACE MOU v7.0 & Provisional Steps Framework v1.8
June 2026

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Preamble

Annex N prohibits interdiction of commercial vessels on the basis of non-payment of transit fees, tolls, or similar levies. It establishes a 30-day PCA arbitration mechanism for dispute resolution. However, 30 days is operationally irrelevant when a vessel is actively detained, delayed, or threatened in the Hormuz Transit Zone.

This Annex N.a provides immediate consequences for interdiction events — measured in hours, not days. It does not amend Annex N. It enforces it.

The Gap Between Annex N and Annex N.a

Issue	Annex N	Annex N.a Resolution
What happens when a vessel is stopped?	30-day PCA arbitration timeline	Automatic Tier 2 classification within minutes; hotline activation within 15 minutes; U.S. escort authority; financial penalty at T+2 hours
How is a safety inspection distinguished from interdiction?	SOLAS safeguard referenced but no test defined	Bright-line table: specific actions classified as permitted (SOLAS) or prohibited (backdoor toll) with burden of proof on Iran
What prevents repeated interdictions?	No escalation mechanism	2nd interdiction = Tier 3 with \$10M penalty; 3rd interdiction = maritime module termination; progressive financial penalties; 90-day service forfeiture

Modularity Clause

This Annex N.a is self-contained and incorporates into the Memorandum of Understanding Pertaining to PEACE and the Provisional Steps Framework by the sentence of adoption in Part D-1 of the MOU. It does not amend or supersede conflicting provisions of any parent framework unless the Parties explicitly so agree. In the event of inconsistency, this Annex N.a governs with respect to classification of interdiction events, escort authority, financial penalties, the bright-line test for safety inspections, repeat interdiction escalation, and vessel release procedures.

Article 1: Immediate Classification and Hotline Activation

1.1 Automatic Tier 2 Classification

Any reported interdiction event under Annex N, Article 2, receives automatic classification as a Tier 2 Material Disruption under MOU Article 7.3, effective immediately upon verification, without waiting for PCC review or PCA arbitration.

1.2 Verification Methods

Verification Source	Standard	Time to Classification
Vessel operator report (written or radio)	Credible claim of interdiction; vessel AIS shows deviation or stop	Immediate (T+0)
U.S. naval visual observation	Direct line-of-sight confirmation of interdiction	Within 15 minutes
Satellite imagery	Vessel stopped at position inconsistent with normal transit; PGSA vessel nearby	Within 60 minutes
AIS data	Vessel speed drops to <1 knot for >10 minutes within Hormuz Transit Zone without declared emergency	Automated flag within 5 minutes

1.3 Simultaneous Activation Requirements

Upon automatic classification, the following activate simultaneously:

- The escalation buffer under MOU Article 8.4 activates immediately;
- The PCC Secretariat notifies both Parties within 15 minutes;
- The maritime deconfliction hotline (direct U.S. Navy-IRGC Navy channel through Omani relay) receives an automated alert;
- The Swiss Dashboard logs the event with all available verification data.

Article 2: U.S. Escort and Override Authority

2.1 Escort Authority

Upon verification of an interdiction event, the United States Navy retains the right to escort the affected commercial vessel through the Hormuz Transit Zone without that action constituting:

1. A use of force requiring separate authorization (per MOU Article 8.5, compliance penalties decouple from any use-of-force authorization);
2. A breach of stand-off distances (per MOU Article 4.3); or
3. An interdiction event by the United States.

2.2 Permitted Escort Actions

Escort authority is limited to:

- Positioning one naval vessel within visual range of the affected commercial vessel;
- Communicating to any PGSA or Iranian vessel that the commercial vessel is under escort;
- Transiting through the stand-off zone for the sole purpose of completing the escort.

2.3 Prohibited Escort Actions

The framework architecture excludes the following from U.S. Navy escort authority:

- Firing upon or disabling any Iranian vessel unless fired upon first;
- Boarding the commercial vessel without its master's consent;
- Using escort authority to conduct surveillance or intelligence collection beyond what is necessary for safe transit;
- Remaining in the stand-off zone beyond the time necessary to complete the escort.

2.4 Iranian Stand-Clear Obligation

The framework architecture requires all PGSA and IRGC Navy vessels to stand clear of any vessel under U.S. escort. Failure to stand clear within 30 minutes of notification constitutes an additional Tier 2 breach.

"Stand clear" means maintaining a distance of not less than 3 nautical miles from the escorted commercial vessel and the U.S. escort vessel. The PCC verifies stand-clear compliance through AIS and satellite monitoring.

Article 3: Automatic Financial Penalty

3.1 Penalty Accrual

For each verified interdiction event, a financial penalty of **\$1,000,000 USD per day** (or portion thereof) accrues, beginning at the time of initial interdiction and ending when the vessel is released and under way, or escorted through the Transit Zone under Article 2.

Penalty calculation examples:

- Vessel detained 30 minutes: \$1,000,000 (subject to the 2-hour release grace period in Article 6.2; any portion of a day outside that grace period counts as a full day);
- Vessel detained 25 hours: \$2,000,000 (two full days, plus the initial partial day);
- Vessel detained 3 days and released: \$3,000,000.

3.2 Penalty Payment

The penalty is paid from the Multilateral Maritime Maintenance Fund escrow to the affected vessel operator within 14 days of the event's conclusion. If the Fund lacks sufficient funds, the penalty is paid from Iran's escrow account, with the next scheduled relief tranche reduced accordingly.

3.3 Penalty Assessment and Dispute

Penalty assessment is automatic upon PCC verification of the interdiction event. No separate political vote or PCA arbitration is required. Iran retains the right to dispute the penalty through PCA arbitration under Annex N, Article 6, but the penalty is held in escrow (not released to the vessel operator) pending arbitration. If Iran prevails, the escrowed amount returns to the Fund or the applicable escrow account.

3.4 Expedited PCC Review for Frivolous Disputes

Upon filing of any PCA arbitration dispute under this Article, a mandatory 7-day preliminary PCC technical review commences. The PCC technical panel assesses whether the dispute has prima facie merit based on: the verification data supporting the interdiction classification; the specificity of Iran's factual challenge; and whether the dispute raises a genuine question of material fact or is a procedural delay tactic.

If the PCC technical panel rules that the dispute is frivolous — meaning it lacks a good-faith factual basis, raises only procedural objections, or is manifestly intended to delay payout — the escrow hold dissolves immediately and the vessel operator receives payment within the original 14-day window regardless of any ongoing PCA track. The PCC determination of frivolity publishes to the Swiss Dashboard. Either Party appeals the determination to the full PCC within 7 days, but the dissolution of the escrow hold and payout to the vessel operator is not stayed pending appeal.

3.5 Interest on Escrow Hold

The escrowed penalty earns interest at the rate specified in MOU Article 5 (the greater of 6-month SOFR or the average of U.S. and Iranian CPI) during the arbitration period. If Iran prevails, the escrowed principal plus accrued interest returns. If Iran does not prevail, the escrowed amount plus accrued interest releases to the vessel operator. If the PCC rules the dispute frivolous under Section 3.4, interest stops accruing at the time of dissolution and the full escrowed amount releases to the vessel operator within the 14-day window.

Article 4: Bright-Line Test for "Safety Inspection" vs. "Backdoor Toll"

4.1 The Bright-Line Table

To prevent Iran from characterizing an interdiction as a legitimate safety inspection under SOLAS, the following bright-line test applies:

Action	Permitted (SOLAS)	Prohibited (Backdoor Toll)
Hailing vessel by radio	Permitted	—

Requesting vessel identification via radio	Permitted	—
Asking vessel to confirm AIS broadcast	Permitted	—
Boarding vessel without master's consent	Not permitted	Presumptive interdiction
Requiring vessel to deviate from transit corridor	Not permitted	Presumptive interdiction
Demanding payment or registration documents	Not permitted	Presumptive interdiction
Delaying vessel for >15 minutes for "documentation review"	Not permitted	Presumptive interdiction
Using threats, warning shots, or show of force	Not permitted	Automatic Tier 3

4.2 Burden of Proof

The burden of demonstrating that an action was a legitimate SOLAS safety inspection, not a prohibited interdiction, rests with Iran. A claim of "safety inspection" unsupported by contemporaneous evidence is rejected. Contemporaneous evidence includes: timestamped radio logs; AIS data showing the vessel was not required to deviate; written confirmation from the vessel master that no demand for payment was made; and any video or photographic evidence from the vessel or U.S. naval observation.

4.3 Uniform Vessel Protocol Application

Any Iranian vessel that engages in a prohibited action is subject to the Uniform Vessel Protocol under Annex N, Article 4 — meaning the same stand-off and AIS rules apply as to military vessels. The framework architecture makes no "civilian enforcement" exception. PGSA vessels conducting prohibited actions are treated as state vessels for purposes of all maritime security provisions.

Article 5: Escalation for Repeat Interdictions

5.1 First Interdiction Event

A first interdiction event receives classification as Tier 2 (Material Disruption) under MOU Article 7.3, with the following consequences:

- A graduated reduction applies to maritime-linked benefits under the step-back ladder of MOU Article 7.3;

- A 14-day remediation period activates automatically;
- The financial penalty of \$1,000,000 per day accrues under Article 3;
- PCC review is mandatory within 48 hours.

5.2 Second Interdiction Event

A second interdiction event within any 180-day period receives automatic reclassification as Tier 3 (Deliberate Hostile Violation) under MOU Article 7.3, with the following consequences:

- An automatic **\$10,000,000 penalty** draws from Iran's escrow (per MOU Article 4.4);
- Iran's service reimbursement forfeits for 90 days (per MOU Article 4.4);
- Full escrow freeze applies to maritime-linked benefits;
- Naval stand-off rolls back to pre-framework distances;
- The matter refers to the Distributed Guarantor Matrix for consensus determination;
- The daily financial penalty doubles to **\$2,000,000 USD per day**;
- U.S. escort authority expands to include standing naval presence in the Transit Zone until further notice.

5.3 Third Interdiction Event

A third interdiction event within any 365-day period constitutes a material repudiation of the parent framework's maritime provisions. The United States retains the right, after 48 hours' notice through the Swiss facilitator, to treat the maritime modules of the parent framework as terminated, while all other modules (nuclear, economic, humanitarian) remain in force under the Partial Success Doctrine of MOU Article 8.9. This is not an automatic termination — it is an option exercisable by the United States after notice.

5.4 Repeat Interdiction Escalation Ladder

Event	Tier	Financial Penalty	Maritime Benefit Impact	Escort Authority
1st interdiction	Tier 2	\$1M/day	Graduated reduction per MOU Art. 7.3; 14-day remediation	Per-incident escort
2nd interdiction (within 180 days)	Tier 3	\$1M/day + \$10M from escrow	Full escrow freeze; stand-off rollback; 90-day service forfeiture	Standing naval presence

3rd interdiction (within 365 days)	Material repudiation	\$2M/day (ongoing)	Maritime module terminable by U.S. after 48- hour notice	Unrestricted; framework maritime provisions voidable
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Article 6: Vessel Release Procedure

6.1 Automatic Release Timeline

If a commercial vessel is interdicted, the following release procedure applies automatically:

Time	Action	Responsible Party
T+0	Interdiction reported; automatic Tier 2 classification	PCC Secretariat
T+15 min	U.S. Navy notified; escort authority activated	U.S. CENTCOM
T+30 min	Back-channel activated; Iran notified of classification	PCC + Facilitator
T+2 hours	If vessel not released, financial penalty begins accruing	Automatic
T+6 hours	If vessel still detained, matter referred to Guarantor States	PCC
T+12 hours	If vessel still detained, public disclosure with vessel operator consent	Joint Secretariat
T+24 hours	If vessel still detained, presumptive Tier 3 escalation	Automatic

6.2 Iranian Release Option

Iran avoids penalty escalation by ordering the immediate release of the vessel within 2 hours of notification. Release is unconditional and includes written confirmation transmitted through the back-channel. If the vessel is released within the 2-hour window, the financial penalty under Article 3 does not accrue. The PCC verifies release through AIS data confirmation that the vessel is underway at normal transit speed within the corridor.

6.3 Post-Release Rights

A vessel released under this Article retains the right to seek additional damages through PCA arbitration under Annex N, Article 6, but the automatic penalty under Article 3 of this Annex N.a ceases upon verified

release. The vessel operator pursues claims for cargo spoilage, schedule disruption, crew distress, and reputational damage through the PCA mechanism, but such claims are separate from and in addition to the automatic penalty under this Annex N.a.

Article 7: Relationship to Annex N and Other Annexes

7.1 Superseding Enforcement Protocol

This Annex N.a is a superseding enforcement protocol to Annex N. It does not amend Annex N's text but provides the immediate consequences that Annex N assumes.

7.2 Governing Provisions

In the event of any inconsistency between Annex N and Annex N.a, Annex N.a governs with respect to:

1. Classification of interdiction events;
2. Escort authority and override procedures;
3. Financial penalties;
4. Bright-line test for safety inspection vs. backdoor toll;
5. Repeat interdiction escalation; and
6. Vessel release procedures.

7.3 Relationship to the MOU Step-Back System

In the event of any inconsistency between Annex N.a and MOU Article 7.3 (Step-Back/Earn-Back), the more severe consequence applies for interdiction events, given the operational urgency of maritime transit integrity. The Parties agree that maritime interdiction poses a unique threat to framework stability and warrants expedited, stringent consequences. The escalation ladder in Article 5 of this Annex N.a supersedes the standard Tier 1-2-3 progression of MOU Article 7.3 for interdiction-specific events.

7.4 Preservation of Annex N

All other provisions of Annex N remain in full force and effect, including the absolute prohibition on interdiction and the SOLAS safeguard. Annex N.a is optimized for use with Annex N but provides stand-

alone enforcement protocols for any framework with a maritime transit guarantee. Both Annexes operate as a unified system, and incorporation of both is recommended for full operational functionality.

Article 8: Incorporation by Reference

This Annex N.a incorporates into the Memorandum of Understanding Pertaining to PEACE and the Provisional Steps Framework by the following sentence of adoption:

“The Parties adopt Annex N.a (Maritime Backdoor Closure: Immediate Consequence Protocol) as a superseding enforcement protocol to Annex N. In the event of any inconsistency, Annex N.a governs with respect to classification of interdiction events, escort authority, financial penalties, the bright-line test for safety inspections, repeat interdiction escalation, and vessel release procedures.”

No amendment of Annex N or any parent framework is required. This Annex N.a enters into force upon signature by both Parties or upon provisional application by exchange of diplomatic notes.

Article 9: Provisional Application

The Parties apply this Annex N.a provisionally for 90 days, pending formal incorporation. Provisional application is effected by an exchange of diplomatic notes. During provisional application, all provisions of this Annex N.a are operative and binding. Either Party terminates provisional application with 14 days' written notice.

9.1 Post-Termination Fallback

If a Party terminates provisional application of Annex N.a but remains bound by Annex N, the 30-day PCA arbitration timeline of Annex N applies, but the Parties agree to expedite all maritime dispute arbitrations to 7 days. The automatic penalties and escort authority of this Annex N.a do not apply during the period when Annex N.a is not in force, but any penalties assessed during provisional application remain due and enforceable.

Article 10: Severability

If any provision of this Annex N.a is found by a court of competent jurisdiction or arbitral panel to be unenforceable, the remaining provisions remain in full force and effect. The Parties promptly negotiate a replacement for any unenforceable provision, preserving the original intent to the maximum extent possible. In particular, if the escort authority under Article 2 is found unenforceable in any jurisdiction, the Parties negotiate an alternative vessel protection mechanism that achieves the same operational objective of ensuring safe transit for commercial vessels through the Hormuz Transit Zone.

What Annex N.a Does That Annex N Did Not

The following table compares the enforcement capabilities of Annex N (the prohibition) and Annex N.a (the consequences):

Issue	Annex N	Annex N.a
What happens immediately when a vessel is stopped?	30-day PCA arbitration	Automatic Tier 2; hotline within 15 min; U.S. escort authority; financial penalty at T+2 hours
Financial penalty	None specified	\$1M/day from Fund or next tranche; automatic assessment; escrow hold pending dispute; \$10M for repeat interdiction
Safety inspection loophole	SOLAS safeguard referenced but no test	Bright-line table: boarding, delay, demands = prohibited; burden of proof on Iran
Repeat interdictions	No escalation mechanism	2nd = Tier 3 with \$10M penalty and 90-day forfeiture; 3rd = maritime module termination
Release procedure	None specified	2-hour window to avoid penalty; 24-hour max before presumptive Tier 3; automatic timeline
U.S. escort authority	Not specified	Explicit permission to escort without breaching stand-off; clear permitted/prohibited list
Civilian enforcement loophole	Uniform Vessel Protocol (Annex N, Art. 4)	Same protocol applied with explicit consequence for PGSA vessels that engage in prohibited actions

Verification standards	General complaint mechanism	4 specific verification methods with time-to-classification
Burden of proof	Not specified	Burden on Iran to prove SOLAS inspection; unsupported claims rejected

Annex N establishes the prohibition. Annex N.a makes the prohibition enforceable within hours, not weeks. Both Annexes are designed to operate as a unified system.

Signature Block

This Annex N.a enters into force upon signature by both Parties or upon incorporation by reference into a parent framework, whichever occurs later.

For the Islamic Republic of Iran:

For the United States of America:

Name: _____
Title: _____
Date: _____

Name: _____
Title: _____
Date: _____

Witnessed by (if applicable):

- Sultanate of Oman
- Swiss Confederation
- Other (specify): _____